Table 5.5 Tax Rate Increases from 2012 to 2013

	2012 Tax Rate	2013 Tax Rate	Health Care Tax	2013 Total	% Increase
Tax-exempt Interest	0%	0%	0%	0%	0%
Qualified Dividends	15%	20%	4%	24%	59%
Long-term Gains	15%	20%	4%	24%	59%
Nonqualified Dividends	35%	40%	4%	43%	24%
Short-term Gains	35%	40%	4%	43%	24%
Taxable Interest	35%	40%	4%	43%	24%

Source: Internal Revenue Service Documents.

The tax bite matters: Consider a manager returning 30 percent a year. Yes, it's an amazing return, but the manager churns the portfolio consistently to generate these returns. After a 43.4 percent tax, this yields only 16.98 percent to his investors. Another manager makes 22.28 percent a year—quite an accomplishment—but this manager trades less frequently to lock in long-term capital gains. After tax, this managers' return is 16.98 percent. Finally, consider a buy and hold manager that generates 16.98 percent a year, but never sells or rebalances the portfolio. After tax, this manager still makes 16.98 percent. All three managers generate 16.98 percent after-tax returns, but the three managers have very different pretax results, and therefore offer vastly different security-selection skill levels. But that doesn't matter. In these cases, alpha is irrelevant—it is tax efficiency that matters.

Consider the following when it comes to taxes.

Tax Efficiency?

How are returns taxed? Can this strategy be more tax-efficient? Why or why not? Can it ever be tax-efficient?